ADVANCED FINANCIAL REPORTING

IAS 24 – RELATED PARTY DISCLOSURE

Lesson Objectives

- To explain the need for related party disclosures
- To define key terms in the standard
- To identify related party relationships
- To outline the relevant disclosure requirements of the standard.

IAS 24 – Objective

To ensure that an entity's financial statements contain the disclosures necessary to draw attention to the possibility that its financial position and profit or loss may have been affected by the existence of related parties and by transactions and outstanding balances, including commitments, with such parties.

IAS 24 - Scope

This Standard shall be applied in:

(a) identifying related party relationships and transactions;

(b) identifying outstanding balances, including commitments, between an entity and its related parties;

(c) identifying the circumstances in which disclosure of the items in (a) and (b) is required; and

(d) determining the disclosures to be made about those items

IAS 24 – Key Definitions

A related party transaction:

'the transfer of resources, services or obligations between related parties, regardless of whether a price is charged'

A related party:

'a person or entity that is related to the entity that is preparing its financial statements'

IAS 24 – Key Definitions

A person or a close member of that person's family is related to a reporting entity if that person:

has control or joint control over the reporting entity;

has significant influence over the reporting entity; or

is a member of the key management personnel of the reporting entity or of a parent of the reporting entity.

IAS 24 – Key Definitions

An entity is related to a reporting entity if any of the following conditions apply:

The entity and the reporting entity are members of the same group (which means that each parent, subsidiary and fellow subsidiary is related to the others)

One entity is an associate or joint venture of the other entity (or an associate or joint venture of a member of a group of which the other entity is a member)

Both entities are joint ventures of the same third party

One entity is a joint venture of a third entity and the other entity is an associate of the third entity

IAS 24 – Key Definitions

The entity is a post-employment benefit plan for the benefit of employees of either the reporting entity or an entity related to the reporting entity.

The entity, or any member of a group of which it is a part, provides key management personnel services to the reporting entity or to the parent of the reporting entity.'

IAS 24 – Key Definitions

Close members of family include:

- that person's children and spouse or domestic partner
- children of that person's spouse or domestic partner
- dependants of that person or that person's spouse or domestic partner.

Key management personnel:

- those with authority and responsibility for planning, directing and controlling the activities of the entity, including any director (whether executive or otherwise) of that entity.

IAS 24 - Disclosures

Parent and Subsidiaries

IAS 24 requires that relationships between parents and subsidiaries should always be disclosed.

The name of the parent and, if different, the ultimate controlling party should be given.

This applies regardless of whether or not any transactions have taken place between the parties during the period.

IAS 24 - Disclosures

Key Management Personnel/Management Entities

Total compensation granted to KMP should be disclosed to be broken down into the following categories:

- short-term benefits
- pension benefits
- termination benefits
- share-based payment schemes.

IAS 24 - Disclosures

Disclosure of Transactions and Balances

If there have been transactions between related parties, and if there are balances outstanding between the parties, the following should be disclosed:

- the nature of the related party relationship
- a description of the transactions
- the amounts of the transactions
- the amounts and details of any outstanding balances
- allowances for receivables in respect of the outstanding balances
- the irrecoverable debt expense in respect of outstanding balances.

Disclosure should be made whether or not a price was charged.

Example-Identifying related party relationship

Illustration 1

Entity A owns 70% of Entity B and 60% of Entity C. Entity C owns 35% of Entity D.

Required: Identify the related party relationships within the above structure.

Answer to Illustration 1

Entities that are within the same group are related to one another. Entities B and C are subsidiaries of Entity A and all three belong to A group. Entity D is not a group member of A group but is an associate of Entity C, which is a member of A group.

From the above analysis, Entities A B and C are related parties because they are group members (A Group). D is related to A and B because it is an associate of C, a member of A group. D is related to C because it is an associate of C.